Quality of Earnings Analysis Report

Acme Industrial Supply Co.

Prepared for: Sample Buyer LP

Date: 12.31.2024

Industry: Industrial Distribution

Transaction: Buy-Side Quality of Earnings

Fiscal Year End: December

Generated using shepi - an AI-assisted analysis platform

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This report presents a comprehensive Quality of Earnings analysis for Acme Industrial Supply Co..

Engagement Overview

This Quality of Earnings report provides an independent analysis of the historical financial performance and condition of Acme Industrial Supply Co.. The analysis covers the key financial metrics, adjustments to reported earnings, and assessment of the sustainability of earnings.

COMPANY DETAILS

Target Company	**Acme Industrial Supply Co.**
Client	**Sample Buyer LP**
Industry	**Industrial Distribution**
Transaction Type	**Buy-Side Quality of Earnings**
Fiscal Year End	**December**
Report Date	**12.31.2024**

Business Overview

FOUNDED	HQ	EMPLOYEES	OWNERSHIP	INDUSTRY
2008	Cleveland, OH	47 FTE	S-Corporation, sing...	Industrial Distribu...

About the Business

Acme Industrial Supply Co. is a regional distributor of MRO (maintenance, repair, operations) consumables, fasteners, and safety equipment serving manufacturing and construction customers across the Midwest. Founded in 2008, the company operates from a single 60,000 sq ft warehouse with a fleet of 12 delivery vehicles and a counter-sales showroom.

Products & Services

- Industrial fasteners & hardware (38% of revenue)
- Safety equipment & PPE (24%)
- MRO consumables - adhesives, lubricants, abrasives (22%)
- Cutting tools & abrasives (16%)

Growth Drivers

- Reshoring of manufacturing in primary metro markets
- Vendor-managed inventory program with three top-10 accounts
- E-commerce launch (2024) currently 4% of orders, growing 12% MoM

Customer Profile

- B2B only. 340 active accounts; top 10 customers represent 31% of revenue. Average order $1,850. Net 30 terms standard.

Key Risks

- Customer concentration: largest account 8.4% of revenue
- One key salesperson controls 22% of book; no formal non-compete
- Inventory turns at 4.1x vs. industry median 5.8x

Important Disclaimers

This Quality of Earnings report has been prepared solely for the use of the intended recipient in connection with the proposed transaction involving Acme Industrial Supply Co.. This report is confidential and may not be distributed to any third party without prior written consent.

The analysis presented herein is based on financial information provided by the Company and its representatives. We have not independently verified the accuracy or completeness of such information. Our procedures do not constitute an audit, review, or compilation of financial statements in accordance with generally accepted auditing standards.

This report is not intended to be, and should not be, relied upon for tax, legal, or investment advice. The recipient should consult with their own professional advisors regarding tax, legal, and financial matters related to the proposed transaction.

Forward-looking statements and projections contained in this report are based on assumptions and estimates that are inherently uncertain. Actual results may differ materially from those projected. We make no representation or warranty regarding the achievability of any projected results.

Our analysis includes adjustments to reported earnings that reflect our professional judgment regarding the nature, frequency, and sustainability of certain items. These adjustments are presented for informational purposes and may differ from adjustments that would be determined by other parties.

The scope and reliability of this analysis are directly dependent on the documents and data provided. Sections of this report may be limited or omitted where supporting documentation was not available. A complete list of documents provided is included in the Data Sources appendix.

This report was generated using AI-assisted analytical tools. It has not been prepared, reviewed, or certified by a licensed Certified Public Accountant (CPA), auditor, or other credentialed financial professional. The methodologies employed are automated and pattern-based.

Analysis Methodology: Financial data was uploaded by the report preparer and processed using automated normalization, trend analysis, and adjustment identification algorithms. AI models were used to suggest potential adjustments, which were reviewed and accepted or modified by the preparer. All figures in this report reflect the preparer's final selections.

If this report is shared with or relied upon by any third party, including but not limited to lenders, investors, or regulatory bodies, such reliance is at the sole risk of the recipient. The preparer and the platform provider accept no liability for any decisions made or actions taken by third parties based on the contents of this report.

Key Terms & Definitions

TERM	DEFINITION
FY	Fiscal Year - the 12-month accounting period used by the Company
LTM	Last Twelve Months - trailing 12-month period ending on the most recent reporting date
EBITDA	Earnings Before Interest, Taxes, Depreciation, and Amortization
Adjusted EBITDA	EBITDA adjusted for non-recurring, non-operational, and owner-related items
QoE	Quality of Earnings - analysis of the sustainability and accuracy of reported earnings
COGS	Cost of Goods Sold - direct costs attributable to production of goods or services
SG&A	Selling, General & Administrative - operating expenses not directly tied to production
NWC	Net Working Capital - current assets minus current liabilities, excluding cash and debt
DSO	Days Sales Outstanding - average number of days to collect receivables
DPO	Days Payable Outstanding - average number of days to pay suppliers

Attention Areas

Key Findings & Risk Assessment

Key Findings & Risk Assessment

Officer Salary Normalization

EBITDA ^ $360,000

HIGH PRIORITY

Officer Salary Normalization - $360,000

Next: Review supporting documentation and confirm classification with management.

One-Time Legal Settlement

EBITDA ^ $185,000

HIGH PRIORITY

One-Time Legal Settlement - $185,000

Next: Review supporting documentation and confirm classification with management.

Pro Forma Market Rent

EBITDA v ($54,000)

MEDIUM PRIORITY

Pro Forma Market Rent - ($54,000)

Next: Review supporting documentation and confirm classification with management.

Attention Areas - Analyst Commentary

Officer Salary Normalization

The company's reported EBITDA includes officer compensation that deviates from market rates for comparable roles. A normalization adjustment of $360,000 increases EBITDA to reflect the cost of replacement management at arm's-length market salaries. This adjustment represents a material benefit to normalized earnings and suggests that current officer compensation is above market benchmarks.

Recommendation:

Confirm the composition of the officer salary adjustment, including the number of officers, their roles, current compensation levels, and the market salary assumptions underlying the $360,000 addback. Evaluate whether post-transaction management structure and compensation will align with the normalized figures, and assess any retention or transition risks if current officers are above-market compensated and expected to remain.

One-Time Legal Settlement

A legal settlement of $185,000 was expensed during the period under review. This amount has been treated as a non-recurring adjustment that increases EBITDA. The magnitude of the settlement is significant relative to the other adjustments and warrants scrutiny regarding its true non-recurring nature.

Recommendation:

Obtain documentation of the legal settlement, including the nature of the claim, settlement agreement, and confirmation that the matter is fully resolved with no ongoing exposure. Review historical periods and pending litigation logs to verify that similar legal costs have not recurred and are not reasonably likely to arise in the future. Exclude this adjustment from run-rate EBITDA if the underlying issue reflects operating risk or a pattern of claims.

Pro Forma Market Rent

A pro forma adjustment of $54,000 reduces EBITDA to reflect market-rate rent, indicating the company currently pays below-market rent, likely under a related-party or favorable lease arrangement. The adjustment moves reported earnings closer to the cost structure a buyer would face under arm's-length lease terms.

Recommendation:

Review the existing lease agreement to confirm term, renewal options, current rent, and relationship to ownership or affiliates. Validate the market rent assumption through third-party broker opinions or comparable lease data. Ensure the lease term extends beyond the transaction or that renewal at the pro forma rate is realistic, and factor this normalized cost into post-close cash flow projections.

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Quality of Earnings Analysis

EBITDA Bridge & Adjustment Detail

QoE Executive Summary - LTM Metrics

Revenue **$5,684,593**	Gross Profit **$2,581,129**	Net Income **$1,531,309**
Reported EBITDA **$1,814,916**	Total QoE Adjustments **$102,000**	Adjusted EBITDA **$1,916,916**

3 adjustment(s) identified

Due Diligence Adjustments

ADJUSTMENTS	NET IMPACT	VERIFIED
3	$491,000	0 / 3

Officer Salary Normalization MA	Officer Salary Normalization - $360,000	$360,000
One-Time Legal Settlement DD	One-Time Legal Settlement - $185,000	$185,000
Pro Forma Market Rent PF	Pro Forma Market Rent - ($54,000)	($54,000)

Adjustment Traceability - Items 1-3 of 3

Officer Salary Normalization	**$360,000**

Source. Manual Entry.

One-Time Legal Settlement	**$185,000**

Source. AI Discovery.

Pro Forma Market Rent	**($54,000)**

Source. AI Discovery.

Key Financial Ratios - LTM

Profitability	
Gross Margin	**45.4%**
Operating Margin	**21.9%**
EBITDA Margin	**33.7%**
Net Profit Margin	**26.9%**
ROA	**26.6%**
ROE	**30.9%**
Liquidity	
Current Ratio	**18.51x**
Efficiency	
DSO	**50 days**
DPO	**0 days**
Asset Turnover	**0.99x**
Leverage	
Debt/Equity	**0.15x**

Income Statement Analysis

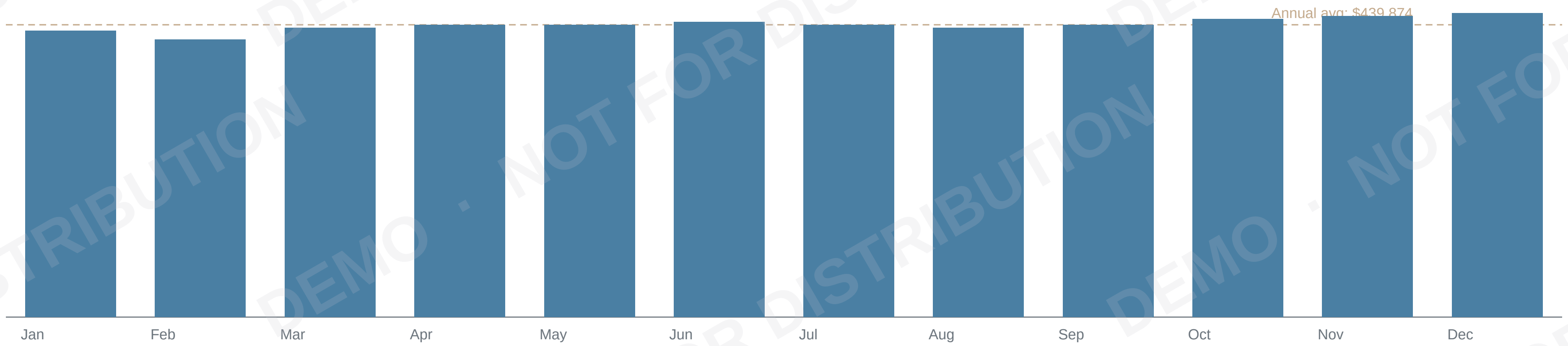
Revenue, COGS & Operating Expenses

Payroll Analysis

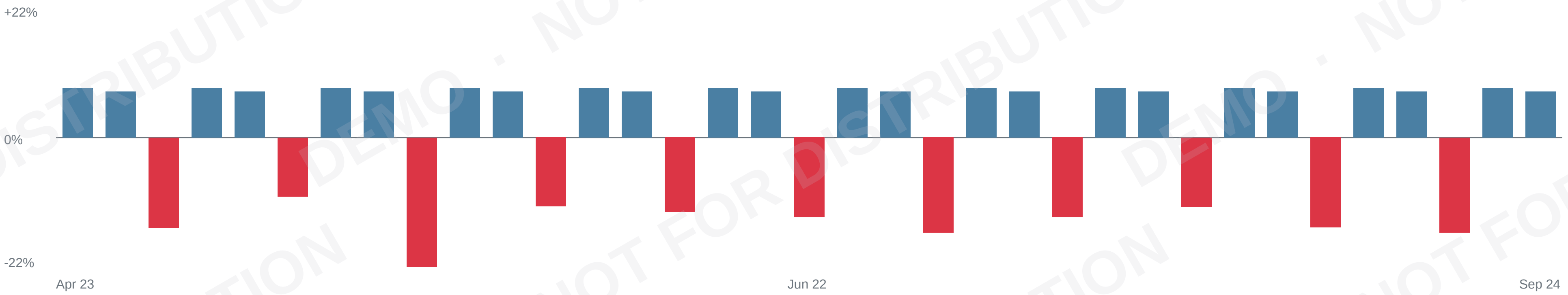
Payroll & Related	Acct #	FS Line	Sub-...	FY 22	FY 23	FY 24	LTM ...	Jan-22	Feb-22	Mar-22	Apr-22	May-22	Jun-22
Payroll & Related - reported													
Officer Salaries	3100	Payro...	Offic...	$300,000	$300,000	$300,000	$300,000	$25,000	$25,000	$25,000	$25,000	$25,000	$25,000
Wages & Salaries	3200	Payro...	Wages	$360,000	$372,000	$384,000	$384,000	$30,000	$30,000	$30,000	$30,000	$30,000	$30,000
Payroll Taxes	3300	Payro...	Payro...	$52,800	$53,760	$54,720	$54,720	$4,400	$4,400	$4,400	$4,400	$4,400	$4,400
Total Payroll & Related				**$712,800**	**$725,760**	**$738,720**	**$738,720**	**$59,400**	**$59,400**	**$59,400**	**$59,400**	**$59,400**	**$59,400**
% of Revenue													
Officer Salaries				$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Wages & Salaries				$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Payroll Taxes				$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Total Payroll as % of Revenue				**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**

Revenue Seasonality & Month-over-Month Trend

Seasonality - Avg Revenue by Calendar Month



Month-over-Month Revenue Growth (%)



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AI-Powered Analysis

Flagged Transactions & Pattern Detection

AI-Flagged Transactions

TOTAL FLAGGED	HIGH CONFIDENCE	AGGREGATE $	CATEGORIES
4	2	$127,500	2

Description / Reason	Account	Amount	Issue Type	Date	Conf.
Adjustment Candidate (3)		**$77,500**			
Owner personal expense - golf club membership	Travel & Entertainment	**$8,500**	Adjustment Cand...	2024-06-15	92%
Related-party rent payment above market	Rent Expense	**$24,000**	Related Party	2024-09-01	88%
One-time legal settlement	Legal & Professional Fees	**$45,000**	Adjustment Cand...	2024-03-22	95%
Risk Flag (1)		**$50,000**			
Unusual round-dollar journal entry	Other Income	**$50,000**	Unusual Transac...	2024-12-31	81%

GL / Journal Entry Analysis

General Ledger Findings

* **Manual journal entries concentrated near period-end**
  12 manual entries totaling $187K were posted in the final 5 days of Q4 2024, materially above the trailing-...
* **Round-dollar transactions above threshold**
  9 transactions of exactly $10,000 or $25,000 were identified across operating expense accounts. Review supp...
* **Reversing entries lacking documentation**
  3 reversing journal entries totaling $62K had no narrative or attached support.